

Stamp duty savings and entitlements

State governments have introduced dangling-carrot incentives aimed at helping first home buyers get into the market. One measure is removing stamp duty for properties priced under a threshold. In some states, grants are also available to add to your deposit amount.

The finance community is divided on whether stamp duty concessions have been a good idea. The danger, critics say, is that without having to factor stamp duty into their costs, first home buyers will borrow more and stretch themselves further at the point of sale, increasing house prices in the 'affordable' bracket. Not even the former boss of the Reserve Bank, Glenn Stevens, was totally down with the idea.

Advocates argue that the saving opens a window of opportunity. Victorian Premier Daniel Andrews has said that stamp duty cuts put 'downward pressure' on prices, and New South Wales Premier Gladys Berejiklian pledged the concessions would level the playing field. Each state or territory revenue office and treasury has online stamp duty calculators, to estimate your exemption.

It'll look good on paper, but economist Saul Eslake offers the view that, only in the rare circumstances of a buyers' market, instead of a sellers' market, does giving cash – directly or indirectly – to first home buyers allow them to get into the market. During the Global Financial Crisis, when the Rudd Government trebled the grant for buyers of new homes and doubled it for buyers of existing homes, house prices rose by the amount of the increased grants. In other words, putting money in buyers' pockets (in this case, an injection of extra money towards their purchase, as opposed to a tax exemption) led to buyers stretching their budgets further.

Eslake says:

I have often described first homeowner grants as more accurately being called second-home vendor grants, because that is where the money ends up. Stamp duty concessions for first home buyers may